

PLACING SLIP — POLITICAL RISK INSURANCE (PROJECT FINANCE)

Market Reform Contract — Prepared in accordance with LMA MRC standards. This slip constitutes the basis of the insurance contract between the Insured and subscribing underwriters at Lloyd's.

SECTION 1 — SLIP IDENTITY

Field	Detail	Field	Detail
UMR	B1103PAK250112	Slip Date	22 January 2025
Broker	Aon Risk Solutions — Trade Credit & Political Risk, London	Broker Ref	AON/TCPR/PK/2025/0112
Broker Contact	Priya Mehta, Senior Vice President, Aon Specialty	Lloyd's Risk Code	PR — Political Risk
Class / Sub-class	Political Risk — Sovereign Non-Payment / Contract Frustration	Stamp No.	PR250112-LDN

SECTION 2 — INSURED DETAILS

Field	Data
Insured	Standard Chartered Bank PLC (London Branch)
Insured's Registered Address	1 Basinghall Avenue, London, EC2V 5DD, United Kingdom
Insured Capacity	Mandated Lead Arranger and Agent Bank — Sindh Solar Energy Project (SSEP) Senior Facility
Insured's Interest	Outstanding loan principal under the SSEP Senior Facility Agreement. Insured seeks cover for Sovereign Non-Payment by the Government of Pakistan (acting through SIDA) and/or NTDC.
Additional Insured	Participating lenders in the SSEP Senior Facility: Bank of China (London), Sumitomo Mitsui Banking Corporation (London), Proparco (France) — each proportionally as per their participations
Credit Rating — Insured	Standard Chartered Bank PLC: AA- (S&P), Aa3 (Moody's)

SECTION 3 — RISK & PROJECT DETAILS

Field	Data
Host Country	Islamic Republic of Pakistan
Sovereign Obligor(s)	(1) Government of Pakistan — Ministry of Energy (Power Division); (2) Sindh Industrial & Development Authority (SIDA) — provincial SPV; (3) National Transmission & Despatch Company (NTDC) — off-taker
Project Name	Sindh Solar Energy Project (SSEP) — 500 MW Ground-Mounted PV
Project Location	Gharo Solar Energy Zone, District Thatta, Sindh Province, Pakistan (24.7°N, 67.6°E)
Project Description	Development, construction, and operation of a 500 MW AC ground-mounted photovoltaic solar power plant. EPC contractor: Envision Energy (China). O&M: SIDA subsidiary. Grid connection via 220kV transmission line to NTDC grid. 25-year Power Purchase Agreement (PPA) with NTDC at USD 5.2 cents/kWh.
Total Project Cost	USD 620,000,000

Total Facility Amount (Insured Exposure)	USD 410,000,000 Senior Project Finance Facility (Standard Chartered as MLA; 5 participating banks)
Tenor of Facility	15 years (2025–2040); sculpted repayment aligned to PPA cashflows
Power Purchase Agreement	25-year PPA between SSEP (SPV) and NTDC — signed 14 August 2024, approved by NEPRA (National Electric Power Regulatory Authority)
Government Support	GOP Sovereign Guarantee (Ministry of Finance) — covering NTDC's payment obligations under the PPA. Guarantee dated 3 September 2024, reference MOF/SOVGUARANTEE/2024/SSEP.

■ SECTION 4 — COVERAGE DETAILS

Field	Data
Perils Insured	(1) Sovereign Non-Payment / Contract Frustration — failure by NTDC or GOP (under Sovereign Guarantee) to make scheduled payments under the PPA or Facility Agreement; (2) Arbitrary Expropriation of the SSEP project assets; (3) Currency Inconvertibility — inability to convert PKR revenues to USD for debt service
Limit of Liability	USD 410,000,000 (declining in line with facility amortisation schedule — schedule attached at Annex A)
Cover Basis	Loss of Outstanding Principal + accrued interest (90-day interest cap). Indemnity basis — not reinstatement.
Deductible	USD 2,000,000 any one loss event. Waiting period: 6 months (180 days) continuous non-payment before claim arises for Sovereign Non-Payment peril.
Policy Period	15 years — 1 March 2025 to 28 February 2040 (aligned to facility tenor)
Annual Premium	USD 4,510,000 per annum (1.10% of outstanding principal at each anniversary, calculated on amortising schedule — declining premium)
Governing Law	English Law. Arbitration: ICC (Paris) if referred by either party within 60 days of dispute.
Policy Wording	LMA3032 (Loan Non-Repayment) amended by manuscript endorsements: MRC-ENDt-PK-001 (Sovereign Guarantee trigger clause), MRC-ENDt-PK-002 (PKR/USD inconvertibility definition)
Subrogation	Underwriters entitled to full subrogation rights against Government of Pakistan and NTDC following any claims payment. Broker to advise on ICSID arbitration route.
Sanctions	LMA3100 Sanctions Limitation Clause. Pakistan FATF status to be confirmed by Insured at each renewal.

■ SECTION 5 — SUBSCRIPTION

Syndicate / Insurer	Stamp No.	Written %	Signed %	Underwriter & Date
Chaucer Syndicate 1084 (LEAD)	1084	30.00%	30.00%	_____/____/2025
Canopus Syndicate 4444	4444	25.00%	25.00%	_____/____/2025
Fidelis Syndicate 3123	3123	20.00%	20.00%	_____/____/2025
MS Amlin Syndicate 2001	2001	15.00%	15.00%	_____/____/2025
Talbot Syndicate 1183	1183	10.00%	10.00%	_____/____/2025
TOTAL		100.00%	100.00%	

■ SECTION 6 — CONDITIONS, EXCLUSIONS & WARRANTIES

Field	Data
Key Conditions	(1) Insured to notify underwriters of any arrears under the PPA or Facility exceeding 30 days within 10 business days of awareness; (2) GOP Sovereign Guarantee to remain valid and in force throughout the policy period — Insured to confirm annually; (3) NEPRA approval of SSEP operations to remain valid; (4) Insured to pursue all contractual remedies before lodging claim; (5) Annual facility position report to be delivered to underwriters by 30 April each year.
Exclusions	(1) Commercial insolvency of NTDC absent Government of Pakistan action or inaction; (2) Loss arising from Force Majeure where GOP has honoured Sovereign Guarantee; (3) Cyber events; (4) Nuclear perils; (5) Voluntary renegotiation of PPA terms by Insured or borrower; (6) Sanctions (per LMA3100).
Warranties	(1) GOP Sovereign Guarantee is valid, enforceable, and has not been subject to any challenge or formal dispute as at the Effective Date; (2) PPA is in force and NTDC has not indicated any intention to vary or terminate; (3) SSEP project construction is on schedule; (4) No outstanding arrears under the Facility as at inception.

LEADING UNDERWRITER SIGNATURE: _____ STAMP: _____ DATE: _____

This MRC slip is binding on the Lead Underwriter upon execution. All following markets are bound by the terms agreed by the Lead. Any amendments require Lead's written consent and broker notification to all markets.